

Dear Members of Congress,

The advent of Artificial Intelligence (AI) has the potential to usher in a new era of digital growth and innovation, akin to the early days of the internet decades ago. Founders, entrepreneurs, and start-ups are once again empowered to build dynamic new products and services that benefit consumers, cut costs, create prosperity, and challenge the old order. But this new dynamism is under threat from entrenched, trillion-dollar incumbents.

America's technological leadership flows from free markets, where new ideas and companies succeed or fail on their merits (not on market power), where competition catalyzes innovation, and where consumers are free to choose the products and services that best meet their needs, not locked into extractive closed systems. That's why we - the undersigned companies - have come together to form a new group: **The Little Tech Association (LTA)**, composed of actual start-ups, investors, and growth-stage companies focused on making it easier to start, build, and grow in today's digital economy.

LTA is committed to defending free markets, empowering builders, liberating consumers, advancing open systems, and keeping AI competitive. While we may be in a moment of AI dynamism, it is unlikely to last: Entrenched incumbents are racing to lock it up, employing the old playbook of anticompetitive practices to chill investment and crush challengers before they can scale. To ensure that America is a place where start-ups can succeed, innovation can thrive, and digital markets are free, we need smart policies and strong enforcement to match the speed and scale of this moment.

We are not asking federal policymakers and regulators to pick winners. To the contrary, we are asking Congress and the Administration to restore the conditions under which real competition is possible. In particular, we see a need for policy to rein in the anticompetitive behaviors that dominant platforms are using to stifle innovation and undercut new entrants:

- Self-preferencing by dominant platforms - discriminating against other businesses that depend on those platforms - stifles innovation and undermines the quantity and quality of choices for consumers. What's more, this behavior preemptively kills new ideas before they're born by altering the decision-making of new firms and early-stage investors - talent and dollars shun sectors where anticompetitive hurdles appear too high. Congress should specifically address this behavior by establishing a duty of nondiscrimination for dominant platforms, as proposed in the American Innovation & Choice Online Act (AICOA), and shifting the burden from small upstarts to trillion-dollar incumbents - requiring the latter to prove why such discrimination is necessary.
- Anticompetitive practices are particularly pronounced in the big app stores, where dominant firms manipulate search rankings, impose onerous fees on in-app purchases, restrict alternate payment systems, and selectively gatekeep. The effect is to raise prices for consumers and drive innovators away from the mobile marketplace. Lawmakers should stop such behavior by barring in-app payment mandates and anti-steering rules

and narrowing the scope of justifications the store operators can use to prevent alternative payment systems as the Open App Markets Act (OAMA) proposes.

- Monopolistic incumbents also discourage competition by locking-in customers, not through superior services, but by limiting data portability and interoperability, raising switching costs and reducing communications across platforms. Congress should act to free consumers by embracing reforms like those in the Augmenting Compatibility and Competition by Enabling Service Switching Act (ACCESS) Act, which requires large platforms to maintain secure, standardized interfaces (APIs) that enable data portability and interoperability while authorizing the FTC to set technical standards.
- Like the monopolists of the 19th century, Big Tech has likewise used (and abused) vertical integration to corner markets, undercut rivals, and inflate prices. This is particularly true in digital advertising, where dominant incumbents operate the leading exchange while also representing both buyers and sellers. It's time for Congress to rein in such anticompetitive behavior by stopping large incumbent companies from owning multiple parts of the ad-tech supply chain and imposing fiduciary-style duties of best execution and transparency on intermediaries that operate across more than one side of the market - concepts articulated in the Advertising Middlemen Endangering Rigorous Internet Competition Accountability (AMERICA) Act.

Congress has already identified many of these monopolistic behaviors and crafted targeted policy to address them. Each of the aforementioned proposals shows that durable, bipartisan coalitions can support smart competition policy. The time to advance these reforms is now.

The story of the past twenty-plus years in the digital economy has been one of consolidation, as a handful of trillion-dollar incumbents have turned an open internet into a set of walled gardens that trap consumers, harvest their data, extract rents, and stifle innovation. The next twenty years needn't look like the last. But without policy reform and robust enforcement, things may get worse as the benefits of AI flow to only the biggest firms, further entrenching them, rather than broadly across founders, investors, consumers, and the digital economy writ-large

We believe in sustaining America's technological leadership. That leadership flows from free markets that empower builders, benefit consumers, and catalyze innovation. Smart reforms and robust enforcement are essential to ensuring digital markets are free today, tomorrow, and for the years to come. When builders and innovators can succeed on their merits, America wins!